

to January 1994 to a trough of -18 per cent (CAGR) over April 2000 to April 2003.

- The range narrows considerably over the five-year investment horizon. The early '90s saw some of the highest returns, with a peak of 47 per cent (CAGR) recorded in the period spanning October 2002 to October 2007 and a trough of -8 per cent (CAGR) recorded over August 1997 to August 2002.
- The range of returns narrows further in the seven-year rolling period. The highest return of 29 per cent (CAGR) was delivered over October 2002 to October 2009 and the lowest of -7 per cent (CAGR) was recorded over September 1994 to September 2001.
- The ten-year rolling period offers the tightest range of returns with least returns at -3 per cent (CAGR) over April 1992 to April 2002. The peak return of 21 per cent (CAGR) was earned in the period spanning May 2003 to April 2013. The ten-year rolling period is also the period with the highest median return of 13.1 per cent.

The more volatile the return over time, the riskier it is. For instance, a government bond which delivers an 8 per cent annualized return over ten years is less risky than a listed company's stock price which delivers 8 per cent annualized returns over ten years. This is because the government bond delivers more or less 8 per cent return each year with very low volatility, whereas the company's stock delivers the same 8 per cent CAGR in a volatile manner. What statisticians call 'standard deviation' can measure this volatility, and hence risk, in an asset's return profile. As shown in the exhibit below, over the past twenty-six years, for the Sensex, the degree of risk involved in a one-year holding period has been three to four times higher than the risk involved in a five-year holding period and six times higher than the risk involved in a ten-year holding period.